ARP – Workshop 1

Practice Questions - solutions

Question 1: Impairment

Division A

The recoverable amount is the higher of the fair value less costs of disposal (FVLCOD) and the value in use (VU).

FVLCOD = £2,400k
VU = £2,350k

The recoverable amount is £2,400k as this is the higher value.

The carrying amount of the assets should include a share of the corporate asset. This will be split between Division A and B based on the carrying amount of the assets (excluding the corporate asset).

	£000	**%**
Division A	2,250	71% (being 2,250 / 3,180 x 100)
Division B	930	29% (being 930 / 3,180 x 100)
Total	**3,180**	**100%**

Division A corporate assets = £780k x 71% = £554k
Division B corporate assets = £780k x 29% = £226k

Carrying amount of Division A assets:

	£000
Property, plant and equipment	1,500
Investment property	300
Intangible assets	450
Corporate assets	554
Carrying amount	**2,804**

The carrying amount is compared to the recoverable amount. If the recoverable amount is lower than the carrying amount, then there is impairment.

	£000
Carrying amount	2,804
Recoverable amount	2,400
Impairment	404

The impairment needs to be split pro rata across the various assets included within the CGU. Since investment property is not within the scope of IAS 36, no impairment can be allocated against the investment property. The impairment will be allocated to the PPE (including the corporate assets) and the intangible assets on a pro rata basis.

	£000	Impairment £000
Property, plant and equipment	1,500	242 (being 1,500 / 2,504 x 404)
Intangible assets	450	73 (being 450 / 2,504 x 404)
Corporate assets	554	89 (being 554 / 2,504 x 404)
Carrying amount / impairment	**2,504**	**404**

The corporate asset is classed as PPE so the total PPE impairment is (£242k + £89k) = £331k.

Journal:

	£000	£000
Dr SPL – impairment loss	404	
Cr PPE – accumulated depreciation		331
Cr Intangible assets – accumulated amortisation		73
Being inclusion of impairment loss for Division A		

Division B

The recoverable amount is the higher of the fair value less costs of disposal (FVLCOD) and the value in use (VU).

FVLCOD = £1,200k
VU = £900k

The recoverable amount is £1,200k as this is the higher value.

The carrying amount of the assets should include a share of the corporate asset. This will be split between Division A and B based on the carrying amount of the assets (excluding the corporate asset). As per the workings above, Division B's share is:

Division B corporate assets = £780k x 29% = £226k

Carrying amount of Division B assets:

	£000
Property, plant and equipment	750
Intangible assets	80
Inventories	100
Corporate assets	226
Carrying amount	**1,156**

The carrying amount is compared to the recoverable amount. If the recoverable amount is lower than the carrying amount, then there is impairment.

	£000
Carrying amount	1,156
Recoverable amount	1,200

As the recoverable amount is greater than the carrying amount, there is no impairment.

Question 2: Impairment

The recoverable amount is the higher of the fair value less costs of disposal (FVLCOD) and the value in use (VU).

The carrying amount is compared to the recoverable amount. If the recoverable amount is lower than the carrying amount, then there is impairment.

	X	**Y**	**Z**	**Total**
	£000	**£000**	**£000**	
Carrying amount	2,250	3,500	1,750	7,500
Fair value less costs of disposal	2,000	3,000	1,600	
Value in use	2,500	3,300	1,250	
Recoverable amount	2,500	3,300	1,600	
Impairment	-	200	150	350

The carrying amounts of the 3 individual CGUs (net of impairment) and the goodwill is now compared to the recoverable amount of the larger CGU which includes all 3 individual CGUs. If the recoverable amount is lower than the carrying amount, then there is impairment.

	£000
Carrying amount of CGUs	7,500
Impairment of CGUs	(350)
Goodwill	1,750
Carrying amount including goodwill	8,900
Recoverable amount of larger CGU	8,500
Impairment of goodwill	400

Journal:

	£000	**£000**
Dr SPL – impairment loss	750	
Cr PPE – accumulated depreciation		350
Cr Goodwill		400
Being inclusion of impairment loss		

Question 3: Deferred tax

	Carrying amount	Tax base	Taxable / (deductible) temporary difference	SPL or OCI?
	£000	**£000**	**£000**	
PPE at cost	50,000	30,000	20,000 T	SPL
PPE at revaluation	5,000	0	5,000 T	OCI
Rollover relief	1,000	0	1,000 T	SPL
Net taxable temporary difference			26,000 T	

	£000
Deferred tax liability at 30 June 20X6	6,500 (being £26,000 x 25%)
Deferred tax liability at 30 June 20X5	1,500
Increase in deferred tax liability	5,000

Tutor note:

The question didn't ask for explanations, but the following explanations have been added for student learning.

The deferred tax liability increase in relation to the PPE at revaluation should be posted to OCI (since revaluation gains on PPE are posted to OCI). The remainder of the increase in the deferred tax liability should be posted to SPL.

Deferred tax liability at 30 June 20X6 for PPE at revaluation:
= £5,000k x 25%
= £1,250k

There is no opening deferred tax liability (or asset) in relation to the PPE at revaluation (as the question states that the opening balance fully relates to accelerated capital allowances which is PPE at cost).

The movement in deferred tax liability in relation to PPE at revaluation is £1,250k (i.e. £1,250 - £0) – this should be posted to OCI – revaluation surplus.

The remainder of the deferred tax liability increase (£5,000k - £1,250k) = £3,750k – this should be posted to SPL – taxation.

Deferred tax liability for PPE at revaluation (post expense to OCI)
= £5,000k x 25%
= £1,250k

Remainder to be posted to SPL
= £5,000 - £1,250k
= £3,750k

Journal

	£000	**£000**
Dr SPL – taxation	3,750	
Dr OCI – revaluation surplus	1,250	
Cr Deferred tax liability		5,000
Being deferred tax movement		

Question 4: Leases

Lease 1

The lease has a fixed payment of £10,000 per annum plus a variable payment of 2% of sales revenue, subject to a minimum of £2,000 per annum. The £2,000 of the variable payment is deemed to be fixed and the remainder of the 2% is variable. The fixed consideration of £12,000 will be taken into account when calculating the lease liability.

Variance consideration is not taken into account when calculating the lease liability.

The lease has an option to purchase, and Bruges is reasonably certain it will exercise this option. Thus, the purchase price should be taken into account when calculating the lease liability.

Lease liability:

		Discounted cashflow
31 December 20X3	£12,000 / 1.05	£11,429
31 December 20X4	£12,000 / 1.05^2	£10,884
31 December 20X5	£12,000 / 1.05^3	£10,366
31 December 20X6	£12,000 / 1.05^4	£9,872
31 December 20X6	£15,000 / 1.05^4	£12,341
		£54,892

Journal:

	£	**£**
Dr Right of use asset	54,892	
Cr Lease liability		54,892
Being recognition of new lease at 1 January 20X3		

The interest expense and payment for the year ended 31 December 20X3 needs to be accounted for.

Year	**Opening**	**Interest expense (5%)**	**Payment**	**Closing**
31/12/X3	54,892	(54,892 x 0.05) = 2,745	(12,000)	45,637

Journals:

	£	**£**
Dr SPL – interest expense	2,745	
Cr Lease liability		2,745
Being interest expense for lease 1		

	£	£
Dr Lease liability	12,000	
Cr Bank		12,000
Being annual payment for lease 1		

The variable lease payment will also need to be accounted for at 31 December 20X3. The total payable is 2% of revenue. For the year ended 31 December 20X3 this is £250k x 2% = £5,000. However, £2,000 of this has been included within the lease payment and only £3,000 is left to be accounted for. This payment will be made after the year end once the revenue is known and should be accrued at 31 December 20X3.

Variable lease payment
= (2% x revenue) - £2,000
= (2% x £250,000) - £2,000
= £3,000

	£	£
Dr SPL – variable lease payments	3,000	
Cr Accrual		3,000
Being variable payment for lease 1		

Depreciation needs to be calculated and posted for the right of use asset. Normally depreciation is calculated over the shorter of the useful life and lease term (which in this case would be the lease term of 4 years). However, as there is a purchase option that Bruges is reasonably certain to exercise, the asset will be depreciated over the useful life of 6 years.

Depreciation for year ended 31 December 20X3 = £54,892 / 6 = £9,149

Journal:

	£	£
Dr SPL – RoU asset depreciation charge	9,149	
Cr RoU asset – accumulated depreciation		9,149
Being depreciation for RoU asset		

Lease 2

At 31 December 20X3, the lease term has changed from 1 year remaining to 3 years remaining as the option to extend the lease is now likely to be exercised.

The lease should be accounted for as normal until 31 December 20X3 and then the lease liability should be remeasured at that date.

The lease has been correctly accounted for up to 31 December 20X3 so we only need to calculate and journal the impact of the change in lease term.

The lease liability is remeasured to £11,234 as follows:

		Discounted cashflow
31 December 20X4	£5,000 / 1.08	£4,630
31 December 20X5	£4,000 / 1.08^2	£3,429
31 December 20X6	£4,000 / 1.08^3	£3,175
		£11,234

The cashflows are discounted using the incremental borrowing rate at the date of remeasurement – 8%.

Increase in lease liability = £11,234 - £4,717 = £6,517

Journal:

	£	**£**
Dr Right of use asset	6,517	
Cr Lease liability		6,517
Being increase in lease liability		

Lease 3

Sales proceeds are greater than the fair value by (£1,300k - £1,100k) = £200k. £200k should be recognised as a loan.

Journal:

	£000	**£000**
Dr Bank	200	
Cr Loan liability		200
Being recognition of loan liability in relation to sale and leaseback		

When accounting for the sale and leaseback transaction the proceeds are deemed to be £1,100k (£1,300k – £200k).

Lease liability is calculated as:

		Discounted cashflow
31 December 20X4	£50,000 / 1.04	£48,077
31 December 20X5	£50,000 / 1.04^2	£46,228
31 December 20X6	£50,000 / 1.04^3	£44,450
31 December 20X7	£50,000 / 1.04^4	£42,740
31 December 20X8	£50,000 / 1.04^5	£41,096
31 December 20X9	£50,000 / 1.04^6	£39,516
31 December 20X0	£50,000 / 1.04^7	£37,996
Present value		**£300,103**
Less: recognised loan		(£200,000)
Lease liability		**£100,103**

Proportion of asset retained:
= lease liability / fair value
= £100,103 / £1,100,000
= 9.1%

Proportion of asset transferred:
= 100% - 9.1%
= 90.9%

Right of use asset:
= Proportion retained x carrying amount of PPE
= 9.1% x £1,000,000
= £91,000

Full gain on disposal:
= Fair value – carrying amount of PPE
= £1,100,000 - £1,000,000
= £100,000

Gain on disposal on transferred asset:
= Proportion transferred x full gain
= 90.9% x £100,000
= 90,900

Journal:

	£000	**£000**
Dr Bank	1,100	
Dr Right of use asset	91	
Cr Lease liability		100
Cr PPE		1,000
Cr SPL – gain on disposal		91
Being recognition of sale and leaseback agreement		



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